countries and the Bank lends money to various countries for developmental projects. A further area of interest is poverty alleviation, especially in the rural areas of developing countries. The International Development Agency (IDA) also lends money to governments for developmental activities. These loans are "soft" loans, and are given at very low rates of interest for a period of 50 years. The International Finance Corporation (IFC) mainly functions with private enterprises in developing countries.

In recent years the Bank is actively promoting the achievement of the Millennium Development Goals which aim at improving living standards, removing illiteracy, empowering women and improving maternal and child health, improving the environment and eradicating AIDS.

International Monetary Fund (IMF)

The International Monetary Fund was primarily the brainchild of Harry Dexter White and John Maynard Keynes, the famous economist. It was formally organized in 1945 with 29 member countries. It now has a membership of 189 countries. Its primary objective is to ensure financial stability and development across the world. The main agenda is to promote international monetary cooperation, expansion of international trade and exchange stability. The Fund lends money from its resources to countries facing balance of payments problems (because they are unable to pay for their imports). It however imposes stringent conditions on the borrowing nations to tighten their budgets, practice fiscal prudence and reduce their expenditure. This is often unpopular, especially among the developing countries which may have to cut down on various programmes which provide subsidies to the people.

The objectives of the IMF are: "to foster global monetary cooperation, secure financial stability, facilitate international trade, promote high employment and sustainable economic growth and reduce poverty around the world."

3.4 Post-War Welfare States in Europe

The term Welfare State refers to the concept that the government is responsible for the social and economic welfare of the people, thus expanding the role of the state beyond providing defence and maintaining law and order.

In 1942, the Report commonly known as the Beveridge Report was published in the United Kingdom which proposed a series of measures which the government should adopt to provide citizens with adequate income, health care, education, housing and employment to overcome poverty and disease which were the major impediments to general welfare.

After the War, the Labour party was voted into power in Britain. It promised to undertake steps to look after the people "from the cradle to the grave". Legislation was enacted to provide comprehensive free health coverage to the citizens through the National Health Service and monetary benefits like old page pensions and unemployment benefits, childcare services and family welfare services. These are in addition to universal, free school education to all children.

The benefits can either be achieved through cash transfers, like old age pensions and unemployment compensation, or through free services. In addition, these countries also try to minimize economic disparities through progressive taxation by taxing the higher income groups at relatively high rates.

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